

CZECH REPUBLIC 2016

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1. Overview of the tax-benefit system

Czech citizens are secured (protected) by three social security systems, i.e. by the social insurance, state social support and social assistance.

The social insurance system addresses such social circumstances as one may get prepared for in advance by depositing certain funds that will serve to solve future social situations. The system includes the unemployment insurance, sickness insurance and pension insurance. Social insurance is funded through contributions made by the employees and employers and by contributions from the state. The system is further complemented with the health insurance.

The state, through the state social support, contributes mainly to the families with dependent children who have encountered a recognised social situation, which the family is unable to manage using its own efforts and means. The system applies the solidarity principle between the high-income families and low-income families, as well as between the childless families and those with children. At assessing claims for the benefits, the family property is not tested, while the income is reviewed in case of certain benefits. The income is currently subject to examination for the purpose of claims for the child allowance, birth grant and housing allowance. The income is not examined for the purposes of the parental benefit and funeral grant. Foster care benefits create a separate benefit system; since 1st January 2013 they have ceased to be a component of the state social support system.

The state, through the social assistance (assistance in material need), provides assistance to persons or families that do not have sufficient income and their overall social and property relations prevent them

from enjoying what the society accepts to be basic living requirements. At the same time, those persons are objectively unable to increase their income through one's own work, through the due application of entitlement and claims or through the sale or other disposal of one's own assets and thereby improving their situation through their own actions.

Living and subsistence minimums are stipulated by special legislation and represent a cornerstone in determining the claim on some benefits and their amounts. Child allowance and birth grant in the system of the state social support are based on the institute of living minimum, living and subsistence minimums exist as a criterion for allowance for living in the system of assistance in material need. Amounts of living minimum are different for single person, first adult in household, another adult in household and for children (three categories according to age) and ensure sustenance and other basic personal needs of the household members. The subsistence minimum, in addition to living minimum, ensures personal needs on surviving level (it contains sustenance and about 40 % of other basic personal needs in living minimum). Housing needs are solved separately, through housing allowance in the state social support system and supplement for housing in the system of assistance in material need.

In general, unemployed persons can receive unemployment benefits for a maximum period of 11 months.

The tax unit is an individual, since 2005 married couples with children are taxed either separately or jointly (using the income splitting method). When a flat rate of income tax (15 %) was introduced on 1st January 2008, this option became irrelevant. Deductible items for spouse under given income and tax credits for dependent children and childcare costs are administered.

1.1. *Average worker wage (AW)*

The 2015 AW earning level is estimated to be CZK 330 072¹ (Secretariat Estimate).

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see *Taxing Wages 2009-2010*, OECD, 2011, part 5, sections 2 and 3

2. Unemployment insurance

Overview of the unemployment insurance scheme (see Chapter 2 for more details):

Program name (local name)		Unemployment benefit (Podpora v nezaměstnanosti)
Insurance is voluntary(V) or compulsory(C) for employees		C
Employment record (E) and contribution (C) conditions		E + C: 12 months in 2 years
Waiting period (days)		0
Maximum duration (months)		11
Uprating mechanism of the benefit		Unemployment benefit is capped at amount equal to 0,58 times of the average wage in national economy within the first three quarters of the calendar year preceding the calendar year in which the application for unemployment benefits was submitted.
Calculation of unemployment insurance benefit:	initial benefit as % of calculation base	65
	benefit at the end of legal entitlement period in % of calculation base	45
	Calculation base(1)	Net
	Permitted employment and disregards when receiving unemployment insurance benefit	Earnings of half the minimum wage are allowed (entitlement to benefits are suspended during this period); loose entitlement if earning more than that
Benefit provision (eligibility (E), generosity (G)) varies with	Age	G: + with age
	family situation	0
	contract type	0
	Other	0

Notes:

1. Gross = gross employment income; SSC = (employee) social security contributions; Net = Gross minus income taxes minus SSC.

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Overview of employment-conditional benefits within the unemployment insurance scheme (see Section 2.1.1 for more details):

Program name (local name)		Unemployment benefit means test (Podpora v nezaměstnanosti)
Type of employment-conditional benefit		Lower benefit withdrawal rate
Beneficiaries of employment-conditional benefit		Unemployment insurance benefit recipient working half-time
Eligibility and calculation criteria	Time dependency of employment-conditional benefit	No
	Child-based condition	No
	Influence of number of children on benefit amount	No
	Working hour criterion	No
	Transition criterion	No
	Minimum earnings criterion for eligibility	No
Up-rating mechanism of the benefit		Unemployment benefit is capped at amount equal to 0,58 times of the average wage in national economy within the first three quarters of the calendar year preceding the calendar year in which the application for unemployment benefits was submitted
Benefit calculation	Income assessment unit	Net earnings
	(Maximum) benefit amount	In 2016, the maximum of unemployment benefit is CZK 15 024.
	Phase-in rate	--
	Phase-out rate	--

2.1 Conditions for receipt

The job seeker is not entitled to unemployment benefits if:

- The employment was terminated by the employer within the last 6 months before the job seeker was registered in database of jobseekers due to his/her breach of obligations arising from legal regulation pertinent to his/her job in an especially gross manner; the same shall apply if other employment relationships was terminated for similar reasons;

- The employment was terminated by the employer for breach of other obligation of an employee under the Labour Code in an especially gross manner in the last 6 months before his inclusion in register of job seekers;
- He/she has the right to a service rent pursuant to special legal regulations, where this would be higher than the unemployment benefits;
- He/she, as of the date for which the unemployment benefit is to be granted, is in a legal relationship under the performance of activities on the basis of a work or service relationship, provided the monthly remuneration does not exceed half the minimum wage, or activities on the basis of an agreement for work performed outside a working relationship, provided that the monthly remuneration or average monthly remuneration for the time worked does not exceed half of minimum wage (the jobseeker is still kept in the registry and is, therefore, eligible to other means of assistance from the Labour Office, incl. payment of the social and health insurance contributions)
- He/she as of the date on which unemployment benefit is to be granted, has the status of the persons exactly set in the Employment Act; in doing so, the amount of earnings or compensation is disregarded; this does not apply to members of housing cooperatives who perform work or activities for a housing cooperative outside the employment relationship, or who are responsible for the business management of a housing cooperative.

The obstacle for inclusion into the register of job seekers is if a natural person without giving a serious reason terminates of her/his own accord or under the agreement with an employer suitable employment mediated by the regional branch of the Labour Office, or if an employer terminates suitable employment with the natural person mediated by the regional branch of the Labour Office as a result of a breach of an obligation arising from legal regulations concerning the work performed in a gross manner.

The regional branch of the Labour Office shall decide to remove the job seeker from the register of job seekers e.g. if he/she without serious reason refuses to take up a suitable employment or refuses to commence an agreed retraining programme.

A job seeker is entitled to unemployment benefit if he/she has: a) gained 12 months of insurance within the pension scheme on the basis of his/her employment or self-employment in the last 2 years preceding the registration; b) applied for the unemployment benefit at the Labour Office of the Czech Republic (hereinafter referred to as “the Labour Office”) while being registered as a job seeker; c) is not a recipient of an retirement pension on the day on which the unemployment benefit is due to be approved. The Labour Office shall decide whether to provide unemployment benefit.

There are activities considered by law as a substitute period of employment while assessing the entitlement to unemployment benefit:

- a) Preparation of disabled persons for work (a part of work rehabilitation process – Section 72 of Act on Employment);
- b) Receiving pension for disability of third grade;
- c) Personal care of a child under the age of 4;
- d) Personal care of a natural person who is, under the terms of a special legal regulation, deemed to be a person dependent on the assistance of another natural person classified as grade II (moderate dependence), grade III (severe dependence) or grade IV (total dependence), provided he permanently resides with the job seeker and they both contribute to their common needs; these conditions shall not be required if this person is deemed to be a “close person” for the purposes of pension insurance;

- e) Long-term voluntary service exceeding an average of at least 20 hours in a calendar week on the basis of a volunteer contract from the posting organization which was accredited by the Ministry of the Interior, or a public works service exceeding an average of at least 20 hours in a calendar week on the basis of a contract;
- f) Personal care of a person under the age of 10 who is, under the terms of a special legal regulation, deemed to be a person dependent as grade I;
- g) Duration of temporary unfitness to work or ordered quarantine of the person after the end of gainful activity which gave rise to its participation in the health insurance under a special legal regulation, unless the person self-inflicted the temporary unfitness intentionally and if the temporary unfitness or ordered quarantine occurred at the time of the gainful activity or the protection period under a special legal regulation.

2.1.1 *Employment conditions*

Since 1 October 2004, when the new Employment Act came into force, the entitlement to unemployment benefits has been based on the period of contributions on employment policy, which is a mandatory contribution dedicated from monthly salary (1,2 % from salary expenses, see section 11.3).

2.1.2 *Contribution conditions*

Job or self-employment activity, on the basis of which there is gained 12 months of insurance within the pension scheme in the last 2 years preceding the registration .

2.2 *Calculation of benefit amount*

2.2.1 *Calculation of gross benefit*

The unemployment benefit is: 65 % in the first two months, 50% in the following two months and 45 % in the remaining months of supporting period of last earned income net of tax and social security contributions. In case the jobseeker quits a job without serious reason or agrees on job termination with the employer preceding his/her Labour Office registration, the unemployment benefit amounts to 45% of average monthly net wage for the duration of the benefit period; however, the unemployment benefit is capped at amount equal to 0,58 times of the average wage in national economy within the first three quarters of the calendar year preceding the calendar year in which the application for unemployment benefits was submitted (in 2016 CZK 15 024 = 0.58 * CZK 25 903).

2.2.2 *Income and earnings disregards*

The job seeker is allowed to earn half of the minimum wage in a month, however, he/she loses the entitlement to draw unemployment benefits during this time of employment. Entitlement to unemployment benefits are suspended during this period. The monthly minimum wage in the reference period has been CZK 9 900. Since 1st January 2017 is the amount of the monthly minimum wage CZK 11 000.

2.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

2.4 Benefit duration

The support period is:

- a) 5 months for job seekers under 50 years;
- b) 8 months for job seekers between 50 – 55 years;
- c) 11 months for job seekers over 55 years.

The unemployment benefits are not provided to job seekers mentioned in section 2.1.

A job seeker who has exhausted the entire period of support in the past 2 years before being included in the register of job seekers, has the right to receive unemployment benefit for the new whole support period if he/she, after exhausting this period, started to work or entered into gainful activity involving the obligation to pay premiums for pension insurance for a period of at least 6 months.

This period of 6 months shall not be required in cases when the job seeker terminated the employment or gainful activity for health reasons or for reasons set forth in a special legal regulation (e.g. termination of employment due to layoffs etc.) or because the employer breached a fundamental obligation arising from legal regulations, a collective agreement or agreed working conditions. At the same time, the condition concerning the entire period of previous employment must be complied with – see 2.1.2.

2.5 Treatment of particular groups

2.5.1 Young persons

No special treatment as regards providing of unemployment benefits.

2.5.2 Older workers

See section 2.4

2.5.3 Others if applicable, including Disabled

Disabled people (who do not receive health insurance benefits, old-age pension or salary or its compensation) are entitled to retraining allowance, providing they attend a retraining course as a part of work rehabilitation (according to Employment Act), regardless whether they are registered or not as jobseekers [Would it be possible to know more about this allowance? Amounts, eligibility conditions, etc. Please see section 10 on disability benefits for more information]. For amounts, eligibility conditions, etc. see sections 3.2, 3.3 and 3.4

3. Unemployment assistance

Job seeker is also entitled to participate in retraining courses and benefit from retraining allowance.

3.1 Conditions for receipt

The recipient has to be registered as a job seeker (see section 2.1). The entitlement to retraining allowance can be claimed by a job seeker who attends a retraining course provided by the regional branch of Labour Office and is not, as of the date, as of which the retraining allowance is to be granted, a beneficiary of an old-age pension.

The regional branch of the Labour Office shall decide to award a retraining allowance which is provided for the entire period of the retraining course. The retraining allowance shall not be paid to job seekers during the provision of an old-age pension, during the provision of sick pay (sickness insurance payments) and during detention.

There is an exception in case of people with disabilities. A disabled person who does not receive sick payments, old age pension or wages/salary or replacement wages/salary for involvement in preparing to work is entitled for retraining allowance on the basis of the decision of the regional branch of the Labour Office. This person is entitled to retraining allowance even if he/she is not listed in the register of job seekers.

3.1.1 Employment conditions

Same as 2.1.1.

3.1.2 Contribution conditions

Same as 2.1.2.

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

During the period of retraining the job seeker engaged in retraining receives 60 % of last earned income net of tax and social security contributions; the maximum rate of retraining allowance is set at 0.65 times the average national wage for the first to the third quarter of the calendar year preceding the calendar year in which the job seeker commenced the retraining (in 2015 CZK 16 367). In case the job seekers are not entitled to regular retraining allowance the allowance shall be set at 0.14 times the national average wage for the first to the third quarter of the calendar year preceding the calendar year in which the job seeker commenced the retraining course.

3.2.2 Income and earnings disregards

A job seeker is allowed to earn half of the minimum wage in a month without losing the entitlement to the benefit only during retraining ("retraining benefit"). The monthly minimum wage in the reference period has been CZK 9 900. Since 1st January 2017 is the amount of the monthly minimum wage CZK 11 000.

A job seeker shall not receive retraining benefit for the period of the provision of old-age pension, the provision of sickness insurance benefits, excluding sickness insurance benefits that are provided to the job seeker from the contributions to sickness insurance paid in relation to activities (specified in Employment Act) and custody.

3.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

3.4 *Benefit duration*

The benefit during retraining is provided for the whole period of retraining. Any time when the job seeker undergoes the retraining, she/he is granted the retraining benefit.

3.5 *Treatment of particular groups*

3.5.1 *Young persons*

No special treatment as regards retraining benefits.

3.5.2 *Older workers*

No special treatment as regards retraining benefits.

3.5.3 *Others if applicable, including Disabled*

A disabled person is entitled to the retraining benefit during the period of his/her vocational training, even if he/she is not registered as a job seeker.

4. Social assistance

The purpose of social assistance is to prevent social exclusion and deprivation. The state, through social assistance, provides assistance to citizens who need such it because of their state of health or their age, who are unable to overcome a difficult life situation or adverse circumstances without help from the state, to persons whose subsistence needs are not sufficiently covered by income from a gainful occupation, pension or sickness insurance benefits, or by other income.

Social assistance includes social services and cash benefits (benefits in material need, benefits for people with disabilities, care allowance). The Assistance in Material Need Act² lays down the situations of inadequate means of subsistence or housing, and defines emergencies, all of which are known as cases of material need. Those are basically situations where a person or jointly assessed persons do not have sufficient income and their overall social and financial situation prevents them from enjoying basic living standard. At the same time, these persons are objectively unable to increase their income. The Assistance in Material Need Act also deals with certain special circumstances in life that can only be resolved by immediate assistance.

Payment rates, durations or aspects of means testing of social assistance benefits do not depend on the age of the claimant or his/her family member.

Overview of the basic Social Assistance policy (see Chapter 4 for more details):

Program name (local name)		Assistance in Material Need (Pomoc v hmotné nouzi)
Age condition for social assistance receipt		No
Legal behavioural requirements	Registration as unemployed(1)	Yes
	Participation in integration measures	Yes
	Active job search(1)	Yes
	Work requirement(1)	if requested have to take up short-term employment, participate in public works or public works service
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	--
	Legal behavioural requirements for adult family members other than the benefit claimant	work availability and job search requirements apply to all members of the household except for old age and disability pensioners, persons over 68, parents caring for children, careers of care-dependent person, persons who are temporary sick
Determination of benefit levels		National
Uprating mechanism of the benefit		The Government is authorized to increase the calculation base for the system of assistance in

² Act no.111/2006 Coll., On Assistance in Material Need, as amended.

		material need (amounts of living minimum and subsistence minimum) on January 1 each year if the growth of consumer price index for sustenance and personal needs exceeds 5%. In case of extraordinary circumstances the amounts can be indexed sooner. Last adjustment on January 1, 2012.
Other supplements to basic benefit (per family)		None
Means-test for social assistance	Earnings disregards	30% of work income disregarded (20% of unemployment insurance benefit, pensions and sickness benefits)
	Benefit withdrawal rate with regard to earned income	70% on Net Earnings, 80% on Unemployment Benefit income
	Assets included in means test?	Yes
	Other benefits included in the means test	Yes
Benefit provision (eligibility (E), generosity (G)) varies with	age	0
	family situation	+ for spouse, proportional addition for each child increasing with child age
	over time	0
	other	--

Notes:

1. Conditions for healthy working-age individuals.

4.1 Conditions for receipt

Benefits of assistance in material need are means-tested. Means (property, income etc.) of all household members - jointly assessed persons - are taken into account.

Allowance for living is provided to a person or a family with insufficient income to ensure basic needs (except for needs related to housing) and these persons are not able to increase it due to objective reasons. Persons in material need are entitled to the allowance for living if their income or the income of the jointly assessed persons is lower than the amount of living.

Supplement for housing is provided to a person or a family in case of insufficient income to cover reasonable housing costs. A precondition of an entitlement to a supplement for housing is the existence of an entitlement to allowance for living and an entitlement to a housing allowance from the system of state social support. A supplement for housing may be granted (with consideration for the overall social and financial status) to persons who have not been granted the above- mentioned benefits.

Extraordinary immediate assistance is provided in adverse or exceptional situations where persons are not in material need but it would be advisable to provide them with assistance per saltum.

To become eligible to benefits in material need the conditions are: residence, impossibility to increase one's own income by using own efforts, in particular by gainful activities, through due application of entitlements and claims, through the sale or other disposal of the persons' property to remedy his or her present situation. In case of unemployment, the unemployed person has to be registered as a job seeker, be active in job search and accept an offered job or participation in an active employment policy programmes

(unless having a serious reason to refuse it) and upon request take up short-term employment or participate in public works or public works service. Effort to obtain income through working is not required from old age and disability pensioners, persons over 68, care-dependent persons in grade II, III, IV, dependent children, parents caring for children, careers of care-dependent person, and persons who are temporary sick, meeting other prescribed conditions. In case of family with children, proper compulsory school attendance of children is required.

Assistance in material need benefits can be received at the same time as other benefit (unemployment benefits, family benefits, and benefits for people with disabilities or care allowance).

Benefits are designed to motivate people to find work and take on any job, and even a part-time or lower paid job. The system gives (financially) preferential treatment to those recipients of benefits in material need who are active job seekers or who are working: incomes from gainful activities are calculated for in part only (70 % in the case of income from employment, 80 % in the case of sickness insurance, pensions and unemployment benefits). On the other hand, recipients who do not collaborate e.g. in job-search receive lower benefits.

Care allowance

The care allowance (hereafter the “allowance”) is provided to persons who are due to their long term unfavourable health condition dependent on another person’s assistance when dealing with basic living needs reflected in the International Classification of Functioning, Disability and Health.

There are 4 levels of dependence:

- a) Grade I (slight dependence);
- b) Grade II (medium-heavy dependence);
- c) Grade III (heavy dependence);
- d) Grade IV (total dependence).

When determining the level of dependence, the ability to manage the following 10 basic needs is evaluated: mobility, orientation, communication, self-feeding, putting on clothes and footwear, washing oneself, toileting, looking after one’s health, personal activities, household tasks.

The allowance provided to persons below 18 years of age in a calendar month is:

- a) CZK 3 000, in the case of grade I (slight dependence),
- b) CZK 6 000, in the case of grade II (medium-heavy dependence),
- c) CZK 9 000, in the case of grade III (heavy dependence),
- d) CZK 12 000, in the case of grade IV (total dependence).

Children under one year of age are not entitled to the allowance.

The allowance provided to persons over 18 years of age in a calendar month is:

- a) CZK 800, in the case of grade I (slight dependence),
- b) CZK 4 000, in the case of grade II (medium-heavy dependence),
- c) CZK 8 000, in the case of grade III (heavy dependence),
- d) CZK 12 000, in the case of grade IV (total dependence).

The allowance is increased by CZK 2 000 for recipients who are dependent children below 18 years of age and parent of dependent children below 18 years of age if the income of the family is under 2.0 family’s living minimum. The allowance is also increased by CZK 2 000 for recipients who are children from 4 to 7 years of age in grade III or IV.

4.2 Calculation of benefit amount in the system of assistance in material need

4.2.1 Calculation of gross benefit

The amount of the allowance for living is set as the difference between the amount of living of a person/jointly assessed persons and the income of that person/ jointly assessed persons less reasonable housing costs. The amount of living of a person/ jointly assessed persons is determined with regard to income, the opportunities to increase this income, financial status and other circumstances (e.g. costly dietary requirements,). The amount of living is derived from the living minimum and subsistence minimum and is set on a case-by-case basis based on an evaluation of the person's efforts, opportunities and needs.

The amount of the supplement for housing is calculated in such a manner that the amount by which the income of the relevant person/jointly assessed persons (including any disbursed allowance for living) exceeds the amount of living of that person/jointly assessed persons is deducted from the amount of reasonable housing costs in a given calendar month (reduced by the housing allowance from the system of state social support for the previous calendar month). Reasonable housing costs include rent (up to the local normal/common amount or the limit stipulated by law³), services related to housing, energy costs.

Living minimum – monthly amounts:

single:	CZK 3 410
first person in household:	CZK 3 140
second and other persons who are not a dependant child:	CZK 2 830
dependant child	
• under 6 years:	CZK 1 740
• 6 - 15 years:	CZK 2 140
• 15 - 26 years:	CZK 2 450

Subsistence minimum – monthly amount:	CZK 2 200
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The necessary costs of housing are not included in the sums of living minimum and subsistence minimum since 01.01.2007.

The Government is authorized to increase the amounts of living minimum and subsistence minimum on January 1 each year if the growth of consumer price index for sustenance and personal needs exceeds 5%. In case of extraordinary circumstances the amounts can be indexed sooner.

Examples of living minimum for:

Single person household:
CZK 3 410

One adult with one child aged 7 years:
 $3\,140 + 2\,140 = \text{CZK } 5\,280$

Two adults and two children aged 5 and 11 years:
 $3\,140 + 2\,830 + 1\,740 + 2\,140 = \text{CZK } 9\,850$.

³ Act no.107/2006 Coll., On One-side Rise in Rent from Apartment, as amended.

Subsistence minimum (instead of living minimum) is used for calculation of allowance for living for adult person as a "sanction" for not meeting certain conditions prescribed by the Act⁴.

4.2.1.1 Irregular additional payments

Extraordinary immediate assistance is provided to persons who find themselves in situations that have to be resolved immediately. The Act addresses six situations that justify these additional benefits:

- Where persons, due to a lack of funds, face a serious threat to their health. The benefit tops up a person's income so that it is level with the subsistence minimum (or the living minimum in cases of dependent children).
- Where persons are victims of a serious extraordinary event (a natural disaster, storms and gales, ecological disaster, fire, etc.) The maximum amount of the benefit is 15 times the individual's living minimum, i.e. up to CZK 51 150.
- Where persons do not have sufficient resources to cover essential one-off expenditure connected, in particular, with the payment of an administrative fee for duplicate copies of personal documents or in cases of monetary loss. The maximum amount of the benefit is the amount of this one-off expenditure.
- Where persons do not have sufficient resources to acquire or repair basic furniture or. The amount of the benefit may be a maximum of the specific expense, but the sum of benefits granted must not exceed ten times the individual's living minimum in one calendar year, i.e. to an amount of CZK 34 100.
- Where persons do not have sufficient resources to cover justified costs relating to the education or special interests of dependent children or ensuring necessary activities of social and legal protection of children. The amount of the benefit may be a maximum of the specific expense, but the sum of benefits granted must not exceed 10 times the individual's living minimum in one calendar year, i.e. to an amount of CZK 34 100.
- Where persons are at risk of social exclusion. This concerns, for example, the situation of persons who have been released from custody or from prison, who have left an orphanage or foster care on reaching adulthood, or who have completed treatment for an addiction. A benefit of up to CZK 1 000 CZK may be granted. The benefit may be awarded repeatedly, but the sum of benefits granted in one calendar year may not exceed four times the individual's living minimum, i.e. the amount of CZK 13,640.

4.2.1.2 Obligations of family members

Assistance in material need is based on a concept of jointly assessed persons. Relevant work-availability or job-search requirements must be met by all members of the household, provided they are not old age and invalidity pensioners, persons over 68, dependent children, students, parents caring for children, careers of care-dependent person, persons who are temporary sick etc. If the person considered as capable of work does not comply with prescribed conditions of employment activity the amount of allowance of living (calculated for the entire household) is reduced.

The entitlement to unemployment benefits relates strictly to a job seeker himself/herself – it means that this entitlement can be affected only if the job seeker himself/herself does not comply with the legal job search

⁴ Act no.111/2006 Coll., On Assistance in Material Need, as amended.

or work-availability conditions; non-compliance on the side of his family members can affect only the personal entitlements of those members but not the entitlement of the job seeker himself/herself.

In general, assistance in material need is based on a concept of jointly assessed persons and benefits of assistance in material need are designed to motivate people to work. The system gives (financially) preferential treatment to those recipients of benefits in material need who are active job seekers or who are working. Recipients who do not collaborate e.g. in job-search receive lower benefits.

Unemployed persons have to be registered as job seekers, be active in job search and accept an offered job (and even a part-time or lower paid job) or participation in an active employment policy programmes and upon request take up short-term employment or participate in public works or public works service. Provided that persons do not fulfil these conditions, they are not deemed to be persons in material need. Relevant work-availability or job-search conditions are not required from old age and disability pensioners, persons over 68, dependent children, parents caring for children (when receiving maternity benefit or parental allowance), careers of care-dependent person, persons who are temporary sick, etc.

With a certain simplification: if the family member considered as capable of work does not comply with prescribed conditions of employment activity she/he is not treated as a person in material need. When calculating allowance for living for the entire family, income (possible income) of this person is included in income of the family decisive for benefit's entitlement but as she/he is not deemed to be a person in material need her/his amount of living is not taking into account and the total amount of allowance for living is reduced by the amount of living of the family member not complying with job search or work-ability conditions.

This rule was introduced by the Act of Assistance in Material Need and has been applied since 2007. Under the previous legislation (Act on Social Neediness), similar situations were solved in different manner. If the family member (one of jointly assessed persons) did not meet the prescribed conditions the benefit of social assistance due to social neediness was not given to the whole family at all.

4.2.2 *Income and earnings disregards*

See above-mentioned conditions for receipt.

4.3 ***Tax treatment of benefit and interaction with other benefits***

Not taxable. Benefits in material need and benefits for people with disabilities can be received at the same time as in-work earnings and any other benefit.

4.4 ***Benefit duration***

Benefits of assistance in material need are provided as long as the given conditions are fulfilled. Persons can apply or re-apply for benefits always when they have not sufficient resources for living and the office has to accept and to judge their application.

4.5 ***Treatment of particular groups***

In general, benefits in material need have no special treatment as regards particular groups. But for certain persons (see section 4.1) less strict conditions are applicable.

4.5.1 *Young persons*

In the case of dependent children, the living minimum must be used as a base for calculation of benefit amount.

4.5.2 *Older workers*

None.

4.5.3 *Other if applicable, including Disabled*

Less strict conditions are applicable for disabled in material need. Effort to obtain income through working is not required from invalidity pensioners and care-dependent persons in grade II, III, IV.

There is a specific system of non-contributory benefits for people with disabilities (efficient since January 2012) including two financial benefits aimed at reduction of social consequences of disability and supporting of social inclusion:

- recurrent obligatory allowance for mobility at the monthly amount of CZK 400 for people who are holders of Certificate of person with disability at the level labelled by a sign ZTP or ZTP/P (their abilities in mobility or orientation are worse due to long-term unfavourable health status);
- one-off obligatory grant for special aid for people with severe disabilities of support and motion apparatus, blind and deaf enabling self-reliance, working activities, education, social contacts, buying or modification of a motor vehicle, adjustment of a flat.

5. Housing Benefits

Overview of housing benefits (for greater detail refer to Chapter 5):

Regular housing benefits	Program name (local name)		Housing allowance (Příspěvek na bydlení)
	Entitlement depends on	Household type/size	Yes
		Income	Yes
		Dwelling size	Indirectly. Prescriptive housing costs used as maximum housing costs are based on floor space per person.
		Geographic location	Yes
		Actual rental cost	Yes
	Description of regular housing benefit		difference between the maximum reference housing costs and the household's reference income multiplied by a coefficient
	Uprating mechanism of the benefit		Prescriptive housing costs are stipulated by law for each year according to actual development of prices in housing sector (rent, energy, services etc.)
Housing related support through other benefits			Supplement for housing for social assistance recipients

5.1 Conditions for receipt

Housing allowance is a recurrent, income-tested benefit; income in the previous calendar quarter is tested. The housing allowance is designed to assist low-income families and individuals to cover expenditure connected with housing. The allowance does not cover the whole housing costs; it only makes a contribution to the coverage of housing costs. Housing benefits are granted irrespective of the type of housing. The actual costs of housing paid in the previous calendar quarter are taken into account. Property owners or tenants registered as permanently resident in that property are entitled to a housing allowance if 30 % (in Prague 35 %) of household income is insufficient to cover housing costs and at the same time that 30 % (in Prague 35 %) of household income is lower than the relevant prescriptive costs. A period of benefit's payment is limited to 84 months during the last 10 calendar years. An exception applies to households exclusively consisting of people over 70 years and disabled persons living in flats adjusted for them.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

The amount of housing benefit for a calendar month is calculated as the difference between the prescriptive housing costs and the household's decisive income multiplied by a coefficient of 0.30 (0.35 in Prague). Actual housing cost will be used for the calculation of housing benefits, in case actual costs of housing are lower than prescriptive housing costs.

Prescriptive housing costs are differentiated according to type of housing (tenement, cooperative, private), size of municipality (5 categories), number of persons in a household. Amounts of prescriptive housing costs are set by law⁵ and they are valid for one calendar year.

Prescriptive housing costs for rental units in CZK					
Valid from January 1, 2016 to December 31, 2016					
Number of persons in household	Size of municipality				
	Prague	over 100 000 inhabitants	50 000 - 99 999 inhabitants	10 000 - 49 999 inhabitants	under 9 999 inhabitants
1	7731	6146	5858	4996	4811
2	11114	8945	8551	7372	7119
3	15114	12277	11762	10220	9890
4+	18947	15526	14905	13046	12648

Prescriptive housing costs for cooperative and private units in CZK					
Valid from January 1, 2015 to December 31, 2015					
Number of persons in household	Size of municipality				
	Prague	over 100 000 inhabitants	50 000 - 99 999 inhabitants	10 000 - 49 999 inhabitants	under 9 999 inhabitants
1	4484	4484	4484	4484	4484
2	6703	6703	6703	6703	6703
3	9316	9316	9316	9316	9316
4+	11887	11887	11887	11887	11887

Decisive income = net income from dependent activity (employment), income from business activity and other independent gainful activity (self-employment), income from lease and other incomes defined under income tax legislation, after the deduction of contributions to health and social insurance and income tax; and also pensions, sickness benefits, unemployment benefits including similar incomes from abroad. For the purposes of the housing allowance calculation, the decisive income includes parental allowance and child allowance. If the decisive income is lower than the living minimum of the family, the living minimum of the family is used for the calculation.

Housing allowance belongs to state social support, it is not a part of assistance in material need. But: a precondition of an entitlement to a supplement for housing from assistance in material need is the existence of an entitlement to a housing allowance from the system of state social support.

⁵ Act no. 117/1995 Coll., On State Social Support, as amended.

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

5.2.2 *Income and earnings disregards*

See above.

5.3 ***Tax treatment of benefit and interaction with other benefits***

Not taxable. Housing allowance can be received at the same time as in-work earnings and any other benefit.

5.4 ***Treatment of particular groups***

5.4.1 *Young persons*

None.

5.4.2 *Older workers*

None.

5.4.3 *Others if applicable, including Disabled*

None.

6. Family benefits

Family benefits (State social support system) consist of:

- a) The benefits related to family income⁶ (child allowance (in section 6), birth grant).
- b) The benefits provided irrespective of income (parental allowance (in section 7.2), funeral grant).

Overview of family and lone parent benefits (for greater detail refer to Chapters 6 and 8):

Program name (local name)			Child allowance (Přídavek na dítě)
Type of benefit			Targeted
Eligibility criteria	Age limits for children (in parentheses if student)		15 (26)
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))		None
Uprating mechanism of the benefit			No
Benefit amount	Benefit amount per child varies with (where +: increase; - : decrease; 0: no change; +/-: decrease or increase)(1)	Age of child	+
		Number of children	0
Means test	Earnings part of means test?		Yes
	Earnings disregard		None
	Withdrawal rate of the benefit		Complete withdrawal beyond income threshold
	Assets part of means test?		No

Notes:

1. +: increase; -: decrease; 0: no change; +/-: decrease or increase "+/-": increases or decreases apply to countries that give higher rates to the youngest and oldest age groups.

⁶ Income which is taken into account for decisions on entitlement to State social support allowances includes income from dependent activity (employment), income from business activity and other independent gainful activity (self-employment), income derived from property, etc., and also sickness and unemployment benefits and pensions, including similar income from abroad. The bulk of the income, which is taken into account for the purpose of these allowances, is defined by the income text legislation. Taken into account is net income after deduction of expenses incurred in generating and maintaining that income, and after deduction of income tax, social insurance contributions, contributions towards the State employment policy and towards health insurance.

6.1 *Conditions for receipt*

Child allowance is the basic income-tested benefit provided to a dependent child with the objective to contribute to the coverage of costs incurred in his upbringing and sustenance. For purposes of family benefits, dependent child is a child up to the age of compulsory school attendance (under 15 years) and further if the child systematically prepares for future occupation (in full-time education at secondary school and university) or is not able to prepare for future occupation due to health reasons or is not able to work due to disability, but maximum up to the age of 26 years. Entitlement to the *child allowance* is bound with certain income criteria. Income of the family in the previous calendar year must be under 2.4 family's living minimum (for amounts of living minimum see tables in the social assistance section).

6.2 *Calculation of benefit amount*

6.2.1 *Calculation of gross benefit*

Child allowance is provided at three levels depending on the age of the child.

Amount of child allowance according to the child's age (in CZK per month) in 2014

Age of the Dependent Child	Monthly Amount of Child Allowance
under 6 years	500
6-15 years	610
15-26 years	700

6.2.1.1 *Irregular additional payments*

None

6.2.2 *Income and earnings disregards*

See above.

6.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable. Child allowance can be received at the same time as any other benefit or in-work income.

6.4 *Treatment of particular groups*

6.4.1 *Young persons*

None.

6.4.2 *Older workers*

None.

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

6.4.3 *Others if applicable, including Disabled*

None.

Note: Social allowance, which was mentioned in earlier Tax and Benefits Surveys, has been abolished fully since 2012.

Families with dependent children are supported also by means of tax credits. All households having taxable income receive tax credit for every dependent child. See Section 11.1.1 for details.

7. Childcare for Pre-school children**Expanding the range of childcare services for pre-school children**

In the 1990s, there was a massive closure of care facilities for children under 3 years of age, without adequate compensation. The trend was accompanied by strong support of domestic care for small children by their parents. The main reason was the interest in child health protection. Nowadays 30 % of children up to 3 years attend day care facilities for children over 3 years, which are not specialized for these children.

As for children aged between 3–6 years (6 being the school age), according to Eurostat data, 76 % attended formal childcare in 2013. Despite this quite high number, supply still does not meet the demand: more than 41,051 applications for childcare were not accepted in 2015/2016.

As a result, the capacity of childcare facilities for small children is insufficient in the Czech Republic at the present time. The lack of pre-school care has impact on participation of parents on labour market, particularly on women. Thus many mothers (re)enter the labour market when their children are four years old.

Table: Applications to kindergartens in 2015/2016 – **regions**

	Kindergartens				
	Number of applications	Rejected	%	Approved	%
Praha	25817	15740	61,0	10077	39,0
Středočeský	27460	18828	68,6	8632	31,4
Jihočeský	8842	7426	84,0	1416	16,0
Plzeňský	8086	6345	78,5	1741	21,5
Karlovarský	3162	2959	93,6	203	6,4
Ústecký	9958	8665	87,0	1293	13,0
Liberecký	6868	5315	77,4	1553	22,6
Královehradecký	7592	6535	86,1	1057	13,9
Pardubický	7108	6036	84,9	1072	15,1
Vysočina	6274	5854	93,3	420	6,7
Jihomoravský	23892	14885	62,3	9007	37,7
Olomoucký	8937	7385	82,6	1552	17,4
Zlínský	8056	6580	81,7	1476	18,3
Moravskoslezský	15195	13653	89,9	1542	10,1
Total	167247	126206	75,5	41041	24,5

Recently, the government has been addressing the problem by expanding the range of childcare services for pre-school children.

Participation rate in pre-primary education

Child's age	2005/06	2006/07	2007/08	2008/09	2009/10	2010/11	2011/12	2012/13	2013/14	2014/15
Under 3 years	25,4%	23,3%	23,4%	25,0%	27,4%	27,8%	25,7%	26,6%	29,4%	34,6%
3 years	75,1%	76,9%	76,5%	77,7%	77,0%	77,6%	76,2%	74,9%	76,9%	81,6%
4 years	90,6%	91,2%	91,3%	90,6%	89,7%	87,6%	86,7%	88,0%	87,1%	89,0%
5 years	96,3%	94,4%	94,0%	93,1%	92,7%	92,8%	90,8%	90,6%	91,6%	90,2%
6 years	22,6%	22,4%	21,8%	21,1%	20,7%	20,7%	21,1%	18,3%	17,6%	16,7%
Over 6 years	0,5%	0,4%	0,5%	0,5%	0,5%	0,5%	0,5%	0,3%	0,4%	0,2%

Source: Institute for Information on Education

In November 2014 a **Children's Groups Act** and related measures in the field in taxation⁷ **came into force**. Children's group is a new type of childcare service on non-commercial basis. The founders of children's groups can be both private companies and public institutions (public authorities, municipalities, regions), NGOs, foundations and other entities. Children's groups are providing care for children from one year of age to the age of compulsory school attendance. The Act sets a standard of hygienic requirements for spatial and operational conditions. Increasing number of children in the child group means increasing hygienic requirements. The development of child groups is enhanced through funding from the European Social Fund (allocation CZK 4,5 billion). Moreover, the Ministry of Labour and Social Affairs provides support as well as information about possibilities of setting this childcare service to potential providers. Nowadays there are more than 240 registered Children's groups, but the number keeps increasing thanks to the possibility of funding.

⁷ The Czech Republic also adopted an amendment to the Act on Income Tax, containing family-friendly tax measures. Since the end of 2014 the **tax deductible costs of employer newly include costs for the operation** of their own early childcare facility for children of their own employees or for non-monetary expenditures of the employer to arrange childcare for their own employees using an outsourcing childcare facility. There was an **income tax relief introduced for parents-employees**. The tax benefit is designed as tax allowance in the amount of costs paid by taxpayer to the early childcare facility up to the amount corresponding to the minimum wage, currently 9 200 CZK. In the context of other tax allowances, especially the tax advantage for children living in a household with taxpayer, which might be partially or in the whole amount paid back to the taxpayer depending on their total amount of the income tax, this instrument can be used by low-income families as well.

Table: Children's groups

	Children's groups	
Region	Number of existing groups	%
Prague	53	22,1
Central Bohemia	51	21,3
South Bohemia	11	4,6
Plzeň	9	3,8
Karlovy Vary	4	1,6
Ústí nad Labem	9	3,8
Liberec	9	3,8
Hradec Králové	6	2,5
Pardubice	13	5,4
Vysočina	3	1,3
South Moravia	36	15
Olomouc	9	3,8
Zlín	6	2,5
Moravia-Silesia	21	8,8
Total	240	100

Ministry of Labour and Social Affairs has launched a ESF project (Operational Programme Employment) creating a **new type of childcare service called “micro-nurseries”**.. Micro-nurseries are designed as a public service care for children from six months of age to four years in a small group of maximum of four children per a qualified carer. It is a pilot project. Hence, childcare service in micro-nurseries and micro-nursery by itself is not subject to any legislation yet. However, the pilot verification is an initial step to a formal implementation of this new childcare service in the Czech Republic.

Concerning **public kindergartens**, in 2015, an increase of the capacity of preschool institutions registered in the school register were supported both by European and national resources. The Fund for the Capacity Development of kindergartens and Primary Schools amounts in total 1.5 billion CZK. Regarding other measures to expand opportunities for participation of children in preschool education, an amendment to the Education Act was approved in 2016: there will be guaranteed places for all children older than four years since 2017, for all children older than three years since 2018 and for all children older than two years since 2020..

Overview of Public and private childcare facilities in the Czech Republic:

According to the current legislation, the public childcare service can be provided within the framework of:

- I. Kindergartens (as an educational facility) under the Education Act
- II. Children's group under the Children's group Act
- III. Private childcare facilities are pursuant to the Trade Licensing Act
- IV. Pilot verification of micro-nurseries

I. Childcare facilities under the Education Act (Kindergartens)

Kindergartens are established by the state, municipalities, regions or associations of municipalities (“public kindergartens”) and by the registered churches and religious societies and other natural or legal persons (“private kindergartens”) as an organisation of pre-school education, providing general care and education **typically for children 3–6 years of age** (*children below three years of age can be admitted as well, but the due to a high demand are such applications often refused*).

Regulation on pre-school education sets that pre-school education of a child in kindergarten is composed of basic fee adjusted in the relevant calendar year by possible fee reduction. According to this Regulation the basic fee shall be set in such a way as not to exceed 50 % of the real average non-investment costs per child per month. The last year of kindergartens is provided free of charge. For private kindergartens there is no “ceiling” for the amount of payment.

Entitlement to subsidy from the state budget to private kindergartens is conditional upon **registration in the school register** led by regional offices and Ministry of education, youth and sport. Whereas the Education Act sets out the requirements for registration in the school register, it is particularly difficult for the employer to ensure these requirements. One of the biggest obstacles is to meet the requirements of hygiene regulations, **which brings high financial demands**.

Nowadays there are 4723 out of 5209 kindergartens established by municipalities.

II. Children’s groups Act

Children’s group is a service **on non-commercial basis**. The founders of children's groups can be both private companies and public institutions (public authorities, municipalities, regions), NGOs, foundations and other entities. Children’s groups are providing care for children **from 1 to the age of compulsory school attendance**.

The Act sets a standard of hygienic requirements for spatial and operational conditions:

Increasing number of children in the child group means increasing hygienic requirements. For more than 4 children in the child group additional hygienic requirements beyond the defined standard are set to ensure the health and safety needs of children in the larger collective. **For more than 12 children in the child group the same hygienic requirements are set as for kindergartens.**

Concerning **the number of carer per children**, there is a maximum of 6 children to one carer and about 7-24 children to two carers. In case that in the group of children is at least 13 children at the same time and at least one child under two years of age, child care in a group provide 3 people.

The measure also sets **maximal number of children to be cared of by one caretaker, most available number of children under care in an institution** and also **qualification requirements for caretakers in child group** as follows:

- healthcare qualification
- social qualification
- educational qualification or
- qualification of child care provider for children up to the compulsory school age.

Other conditions are established, i.e. internal rules, registration of children etc.

III. Private childcare facilities are pursuant to the Trade Licensing Act

Private facilities are running under professional trades in accordance with **Act no. 455/1991 Coll., the Trade Licensing Act**. “The Care trades”.

Private childcare facilities pursuant to the qualified Care Trade “**Day care for children up to three years of age**” is defined as *individual educational care of entrusted children up to three years of age on a day or weekly basis (...)*. The services can be provided at the child’s home or at the provider’s premises. The premises and the operation of provider are subject to hygienic requirements defined by the applicable Regulation, which brings **high financial demands**. The entrepreneur must also **meet the qualification requirements**. It is not required to fulfill other specific conditions.

Individual day care for children above three years of age and occasional babysitting for children up to three years can also be provided as an **unqualified Trade “Providing family and household services”**. **No qualification requirements are identified for providers and for carers.**

An unqualified trade “Extra-curricular education, organization of courses, training, including instructor services” content of the trade has been specified as **education of children aged over three years at pre-school facilities, schooling at private schools and facilities serving vocational training, unless they are included in the network of schools, schooling and pre-school facilities.**

According to Ministry of Industry and Trade, there were 1714 licenses for securing childcare for children under 3 years of age registered in 2nd quarter 2015. The number of unqualified Trades is not monitored.

Remark: The current law does not recognize any other care services for children of preschool age and if the care is provided in facilities designed as „children’s corners, family, paternal and maternity centres, small kindergarten,“ etc., is provided only in general law without a specific legal basis.

IV. Pilot verification of micro-nurseries

As mentioned above, the Ministry of Labour and Social Affairs has launched an ESF project creating a **new type of childcare service called “micro-nurseries”**. Micro-nursery is a new planned type of care (inspired by Tagesmutter/Tagesvater in Germany), which is designed for children from six months of age to four years. To ensure an individual care, it is a service for a small group of maximum four children. The qualification requirements for care-takers are the same as for Children’s group (healthcare qualification, social qualification, educational qualification or qualification of child care provider for children up to the compulsory school age). Founders are primarily municipalities, NGO’s, but always in cooperation with the municipality, as one of the principle of the service is local availability. The main aim of the project is a pilot verification of the services to create a new other way of providing care and education for the youngest children. The project was launched in January 2016.

In February 2016 a grant calls for candidates (municipalities, NGOs) was announced on the provision of care in micro-nurseries. CZK 140 million had been prepared for founding and working of micro-nurseries. The interest for granting was enormous; 123 entities applied for CZK 235 million. 72 best projects (7 in Prague and 65 in regions) have been chosen for a total of CZK 133 240 976.

First four micro-nurseries have been operating since February 2017.

Table 4: Micro-nurseries

Region	Number of applications submitted	Number of recipients of subsidies
Jihočeský kraj	3	1
Jihomoravský kraj	19	11
Karlovarský kraj	1	2
Kraj Vysočina	3	2
Královéhradecký kraj	4	3
Liberecký kraj	2	0
Moravskoslezský kraj	5	4
Olomoucký kraj	10	5
Pardubický kraj	5	3
Plzeňský kraj	3	1
Středočeský kraj	21	11
Ústecký kraj	9	6
Zlínský kraj	20	16
The total amount (Czech republic with exception of Prague)	105	65
Prague	18	7

7.1 Out-of-pocket childcare fees paid by parents

Full-time childcare

I. Kindergartens (as an educational facility) under the Education Act

Regulation No. 14/2005 Coll. of the Ministry of Education, Youth and Sports on pre-school education, which has been valid since 2005, sets that pre-school education of a child in kindergarten is composed of basic fee adjusted in the relevant calendar year by possible fee reduction. The basic fee is set on accepting the child to the kindergarten and by 1 September of the preceding calendar year.

In the school year 2016/2017, there were 362 653 children of 2–6 years in 5 209 kindergartens (current law considers this preschool education as facultative) – there were 44 729 children younger than 3 years, 91 390 children aged three, 100 118 children aged four, 105 869 children aged five and 20 547 children aged six years (these kids were allowed to postpone their school start).

According to this Regulation the basic fee shall be set in such a way as not to exceed 50 % of the real average non-investment costs per child per month in the past calendar year⁸. The basic fee shall be set for the period from 1 September to 31 August of the following school year at the same amount for all children in the relevant kindergarten. Exempt from the fee is a statutory representative of a child who receives

⁸ With the exception of expenses on salaries, reimbursements for salaries, or wages and reimbursements for wages, bonuses for work readiness, bonuses for work done on the basis of contract for work outside of employment and compensation, social security insurance and state employment policy contribution and health insurance, contributions to funds of cultural and social needs and other expenses emerging from industrial relations, on necessary increase in costs associated with education of disabled children, on school equipment and also expenses on further education of pedagogical staff, on activities that are directly connected to school development and education quality, which are provided from the state budget.

benefits of assistance in material need and natural person who personally takes care of the child and receives foster care allowances and proves this fact to the head of the kindergarten.

The last year of kindergartens is provided free of charge.

Childcare fees are not taken into regard in the social assistance system. Since January 1st, 2015 a new income tax credit (non-refundable) is introduced for parents-employees. Tax credit in the form of tax relief equals to the amount of annual costs paid by taxpayer to the early childcare facility up to the amount corresponding to the minimum wage (CZK 9 900 in 2016). The tax deductible costs of employer newly include operating costs of own early childcare facility or contributions to outsourced childcare facility used by employees' children.

Costs expended on running the kindergarten founded by an enterprise under the Education law as a service for its employees, are tax deductible⁹. In case the employer pays to employees regular wage or salary and in addition pecuniary consideration as a reimbursement for kindergarten expenditures (the kindergarten must be provided by other subject), this allowance is tax deductible only if this privilege is founded in employment contract, collective agreement or internal rules of procedure¹⁰. Considering non-monetary gains as a reimbursement for kindergarten expenditures, employees are exempt from income tax¹¹, only when the employer provides them from a social and cultural needs fund, from a social fund, from after-tax profit (income) or to the debit of expenses (costs) that are not expenses (costs) to reach, secure and maintain income.

For private kindergartens there is no "ceiling" for the amount of payment.

II. Children's group under the Children's group Act

Payment is established by contract and is at maximum of the amount of formation and operating costs of providing the service, with the possibility of non-payment.

The costs per 1 child per month are between 7-11 thousand CZK (staff costs are 80-90% of the total cost).

III. Private childcare facilities are pursuant to the Trade Licensing Act

The charge for the service is determined by the provider on a commercial basis. Private agencies providing childcare are usually used by a high income and career – oriented families. Such kind of childcare costs CZK 70 – 150 per hour and CZK 130 – 150 per hour in Prague.

IV. in accordance with the applicable legal rules of a general nature (NGO's)

Care in parent centres is often provided as an occasional short-term care either free of charge (if it is provided on volunteer basis by particular mothers) or for a symbolic fee. About 20 % of these centres work on commercial basis.

Part-time childcare

N/A.

⁹ (Act No. 193/2008 Coll., section 24, para. 2, letter j, item 3)

¹⁰ (Act No. 193/2008 Coll., section 24, para. 2, letter j, item 5)

¹¹ (Act. No 193/2008 Coll, section 6, para. 9, letter d)

7.2 Child-care benefits for formal centre-based care

The parental allowance.

7.2.1 Conditions for receipt

In case a parent draws parental allowance, the child aged less than two years can spend in child care facility up to 46 hours per month. After the child reaches two years, the parent receives parental allowance without restriction – the length of stay of a child in kindergarten is not limited.

While receiving parental allowance it is possible to place the child under two years of age into a pre-school care facility for a limited period only¹². The condition of personal all day care is considered fulfilled if a child under two years of age attends institutional childcare for less than 46 hours in a month. Children over two years can attend child care facilities without any restriction.

Parental allowance is also provided to parent who has income from gainful activity. But together with a condition of limited placement of a child under two years in a crèche or a kindergarten the other condition has to be met: during the gainful activity of a parent, care of a child has to be ensured by another adult person.

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

Parental allowance is provided until the total amount of CZK 220 000 is drawn, the maximum length is up to 4 years of child's age.

A parent may select the amount of parental allowance and thus the period of its drawing under the condition that at least one parent in a family is a person participating in sickness insurance. The calculation of monthly amount of parental allowance is based on daily assessment base for determination of maternity benefit or sickness benefit related to child's confinement or adoption according to the act on sickness insurance. If 70 % of 30 multiple of daily assessment base is under or equal to CZK 7 600, the amount of parental allowance can get to CZK 7 600 at the most; if 70 % of 30 multiple of daily assessment base is higher than CZK 7 600, the maximum amount of parental allowance is limited by this figure; the amount of parental allowance can be up to CZK 11 500. When the daily assessment base can be determined for both parents, the higher one is used for calculation. Choice of the amount of parental allowance can be changed once in 3 month.

In the case that the daily assessment base cannot be set for any parent, parental allowance is paid at fixed monthly amounts of CZK 7 600 until the child reaches 10 months and after it at the amount of CZK 3 800 until the child is 48 months old.

¹² Ministry of Labour and Social Affairs proposed to shorten the possible period of drawing a parental allowance to make it more flexible than nowadays (in these days is the maximum amount, which is possible to draw CZK 11500 - approx. to 2nd child's birthday) within changes in an amendment to the Act on State Social Support. Actually it is before second reading in the Chamber of Deputies, the government had approved it before. It also abolishes the limitation of 46 hours in preschool facilities for children younger than two years while receiving parental allowance.

7.2.2.2 *Income and earnings disregards*

The parent's income is not tested while receiving parental allowance.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable. Parental allowance can be received at the same time as in-work earning (see above), unemployment benefits, benefits of assistance in material need or benefits for disabled.

7.2.4 *Treatment of particular groups, including Disabled*

There are certain exceptions concerning disabled children or disabled parents related to the child attendance in child care facilities. While receiving parental allowance it is possible to place the child under two years of age into a pre-school care facility for 4 and in some special cases for 6 hours a day.

7.3 **Child care allowance for children not using child care centres**

The same eligibility conditions, benefit amounts and treatment apply for parental allowance related to children not using child care centres.

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

8. Employment-conditional benefits

None.

9. Lone-parent benefits

In the Czech Republic, there is neither specific social benefit taking into account situation of lone parents nor social benefit acting as a substitute for alimony/maintenance in cases when the absent parent does not pay any child support.

From the social and legal protection of children point of view: parents are provided with, or arrange for them to have, counselling while exercising the rights of the child to maintenance, at their request. Social-legal protection authorities may file court petitions for the performance of maintenance obligations.

Alimony/maintenance payments from the absent parent are taken into account for decisions on entitlement both to family benefits and social assistance. Received alimony/maintenance payments are included in the decisive income of the lone parent family for income-tested state social support benefits/family benefits (child allowance, birth grant, housing allowance) as well as for means-tested social assistance benefits/benefits of assistance in material need (allowance for living, supplement for housing). This method of income calculation has remained unchanged since the introduction of OECD tax-benefit models; the same approach was used also in the former system of social assistance.

11. Tax system

11.1 Income tax rate schedule

11.1.1 Tax allowances and credits

11.1.1.1 Standard allowances

11.1.1.2 Standard tax credits (per year)

- Credit of CZK 24 840 per taxpayer.
- Credit of CZK 24 840 per spouse (husband or wife) living with a taxpayer in one household provided that the spouse's own income does not exceed CZK 68 000 in the taxable period.
- *Credit for children:* Payable tax credit of CZK 13 404 for first child, credit of CZK 17 004 for second child, credit of CZK 20 604 for third and each additional child (irrespective of the child's own income) if the child satisfies one or more of the following criteria:
 - age below 18
 - age below 26 and receiving full-time education
 - age below 26 and physically or mentally disabled provided that the child is not in receipt of a state disability pension payment.

The taxpayer can claim the tax credit in the form of tax reliefs or tax bonuses or their combination. In 2013, the taxpayer is entitled to a tax credit for a dependent child in the amount of CZK 13404 per child per year (or CZK 1117 per child per month). If the child is severely disabled, the tax credit doubles. Should more taxpayers maintain a child in one household, only one of them may apply tax credit in a taxable period or in in the same calendar month of a taxable period. The maximum amount of tax credits which the taxpayer may claim as tax relief is given by his/her tax liability. Tax bonus represents the balance between tax credit and tax relief. The total amount of tax bonus for one family must be no more than CZK 60300 per annum in 2013.

- *Credit for child care costs:* Since January 1st, 2015 a new income tax credit (non-refundable) is introduced for parents-employees. Tax credit in the form of tax relief equals to the amount of annual costs paid by taxpayer to the early childcare facility up to the amount corresponding to the monthly minimum wage (CZK 9 900 in 2016).
- The tax deductible costs of employer (since January 1st, 2015) includes operating costs of own early childcare facility or contributions to outsourced childcare facility used by employees' children.

11.1.2 The definition of taxable income

11.1.3 The tax schedule

From January 2008, a progressive system of taxation is replaced by a single rate of 15%, levied on gross earnings augmented with employer social security contributions.

11.2 Treatment of family income

The tax unit is the individual. The possibility of joint taxation, which was introduced in 2005, has been abolished since 2008.

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

11.3 Social security contribution schedule

Compulsory contributions of 11.0 per cent of gross wages and salaries are paid by all employees into government operated schemes. The total is made up as follows (in %):

Contributions	Percentage of gross earnings		
	Employees	Employers	Total
Health insurance	4.50	9.00	13.50
Social insurance			
Sickness	0.00	2.30	2.30
Pension	6.50	21.50	28.00
State employment policy	0.00	1.20	1.20
Total	11.00	34.00	45.00

The total contribution for employers is 34 per cent of gross earnings.

The contribution consists of the health insurance contribution (9 per cent of gross wages and salaries) and social insurance (25 per cent).

The maximum annual earnings used to calculate social security contributions and contributions to the state employment policy are 48 times the national average monthly wage (CZK 1,296,288). The maximum ceiling for health insurance has not existed since 2013.

11.4 Treatment of particular group**11.4.1 Young persons****11.4.2 Older workers****11.4.3 Others if applicable**

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

12. Part-time work

12.1 *Special benefit rules for part-time work*

None.

12.2 *Special tax and social security contribution rules for part-time work*

None.

13. Policy developments

13.1 Policy changes enacted from 1st of July 2015 to 1st of July 2016

In the field of non-contributory social benefits, since July 1, 2015 to July, 1, 2016 no substantial changes in legislation related to family benefits and benefits in material were implemented. Minor modification in definition of person eligible for allowance for mobility has been efficient since January 1, 2016)

In the field of unemployment benefits:

In the area of unemployment benefits, no substantial changes had been enacted.

13.2 Policy changes enacted or announced after 1st of July 2016

In the area of non-contributory benefits, no substantial changes had been enacted. The only recordable change can be mentioned in care allowance case: since August 1, 2016 amounts of care allowance in all 4 degrees have been increased by 10 %.

The minimum wage increased to CZK 11 000 on 1st January 2017.